

September 18, 2026

Bajaj Finance Ltd.: Ratings reaffirmed; rated amount enhanced for bank facilities

Summary of rating action

Instrument*	Previous rated amount (Rs. crore)	Current rated amount (Rs. crore)	Rating action	Financial sector regulator [#]
Fixed deposit	-	-	[ICRA]AAA (Stable); reaffirmed	RBI
Long-term bank facilities	10,000.00	20,000.00	[ICRA]AAA (Stable); reaffirmed and assigned for enhanced amount	RBI
Non-convertible debentures	25,000.00	25,000.00	[ICRA]AAA (Stable); reaffirmed	SEBI
Non-convertible debentures	15,000.00	15,000.00	[ICRA]AAA (Stable); reaffirmed	SEBI
Commercial paper	40,000.00	40,000.00	[ICRA]A1+; reaffirmed	RBI
Total	90,000.00	1,00,000.00		

*Instrument details are provided in Annexure I

[#] The Securities and Exchange Board of India's (SEBI) grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments that fall under the regulatory purview of financial sector regulators other than SEBI

Rationale

The ratings factor in Bajaj Finance Ltd.'s (BFL) long track record of operations and established presence in the Indian financial market as one of the largest retail-focussed non-bank financiers. Over the last decade, the company has achieved significant scale with consolidated assets under management (AUM) of Rs. 5,46,944 crore as on June 30, 2026 (Rs. 5,09,975 crore as on March 31, 2026), spread across different geographies and asset classes, lending granularity to its portfolio. It has a predominantly retail-focussed book with comfortable asset quality. The ratings also consider the strong capitalisation profile with a capital-to-risk weighted assets ratio (CRAR) of 20.9% as on June 30, 2026 (Tier I CRAR: 20.0%), supported by healthy internal accretion. The company's earnings profile remains comfortable [5-year average (FY2022 to FY2026) return on average managed assets (RoMA) of 4.0%], driven by healthy margins and operating efficiency.

Further, it has maintained a superior liquidity profile with well-matched asset-liability maturities, supported by healthy on-balance sheet liquidity and unutilised lines. ICRA also notes that the share of funding from short-term sources remains low. The company is of significant strategic importance to the Bajaj Group, given its position as the lending vertical of Bajaj Finserv Limited. ICRA expects BFL to continue benefitting from the financial flexibility derived from its association with the Bajaj Group.

However, ICRA notes the moderate-to-high risk profile of the portfolio as unsecured consumer finance, personal loan finance and small and medium enterprise (SME) finance accounted for ~45% of the consolidated portfolio as on June 30, 2026. The unsecured business segment and auto finance continue to exhibit relatively higher delinquencies. However, the overall asset quality remains comfortable with gross non-performing assets at 0.96% as on June 30, 2026 (1.01% as on March 31, 2026; 0.96% as on March 31, 2025). BFL's prudent risk management and underwriting with its focus on existing customers partially mitigate the asset quality risk. Nonetheless, given the company's scale and growth plans, BFL's ability to keep its asset quality under control will remain monitorable. ICRA also notes that the draft amendments proposed by the Reserve Bank of India (RBI), restricting non-banking financial companies from offering revolving credit facilities, are likely to have a limited impact on the company's credit profile, given its diversified operations, healthy earnings profile and strong capitalisation.

The Stable outlook on the [ICRA]AAA rating reflects ICRA's expectation that BFL will continue to benefit from its track record of operations and its healthy earnings and capitalisation profile.

Key rating drivers and their description

Credit strengths

Strong market position and significant track record in Indian retail finance operations – BFL has a strong presence in the Indian non-bank retail financing sector. The company achieved fast-paced growth over the last decade to build a sizeable portfolio of Rs. 5,46,944 crore as on June 30, 2026 (vs. Rs. 5,09,975 crore as on March 31, 2026; Rs. 44,200 crore as on March 31, 2016), on a consolidated basis, with diversified product offerings. The entity is of significant strategic importance to the Bajaj Group, given its position as the key lending vertical of Bajaj Finserv Limited. ICRA expects BFL to continue enjoying financial flexibility, owing to its association and importance to the Bajaj Group. The company's stable and experienced senior management team has guided it through evolving technological disruptions and macroeconomic challenges. ICRA expects BFL to continue leveraging the senior management's expertise.

High share of retail portfolio and geographical and product diversification provide stability in a competitive environment – BFL predominantly focusses on retail lending and has a reasonable presence across asset classes like mortgage, consumer durables, personal finance, commercial finance, SME finance and rural finance with numerous product offerings in each segment. In addition to other non-bank financiers, BFL's competitive landscape in most high-volume segments, such as home loans and personal loans, includes established private and public sector banks. However, its granular portfolio, geographically diversified presence and continuous product expansion lend stability to its operations and growth prospects. As on June 30, 2026, the company had a presence in 4,073 locations across the country and a distribution network with more than 2.4 lakh points of sale, catering to a total customer franchise of around 12 crore borrowers. ICRA expects BFL's operations to remain diversified with continued focus on its retail portfolio and granularity.

Healthy earnings profile – The company benefitted from economies of scale as its portfolio expanded significantly over the last decade, while maintaining healthy lending margins and range-bound credit costs. Consequently, BFL generated healthy internal accruals, which support the return indicators and facilitate growth. The company reported a consolidated profit after tax (PAT) of Rs. 19,332 crore in FY2026, translating into a return of 3.6% on average managed assets (AMA) and 17.9% on average net worth compared to Rs. 16,779 crore, 3.9% and 19.1%, respectively, in FY2025. ICRA notes the increase in consolidated credit costs to 1.8% in FY2026 from 1.6% in FY2025 amid higher delinquencies in the unsecured business segment and captive two-wheeler and three-wheeler loans, however, some improvement has been witnessed in Q1 FY2027. The company reported a consolidated PAT of Rs. 6,081 crore in Q1 FY2027 (Rs. 4,765 crore in Q1 FY2026). Also, improved operating efficiency and strong interest margins have supported overall profitability at a comfortable level, and ICRA expects profitability to remain healthy over the long-term.

Strong capitalisation – BFL remains well-capitalised with a consolidated managed gearing of 3.8 times as of March 2026 (3.8 times as of March 2025; 3.9 times as of March 2024). On a standalone basis, it reported a CRAR of 20.9% as on June 30, 2026 (Tier I CRAR: 20.0%), well above the regulatory requirement. ICRA expects the overall profitability to remain healthy with an improvement in credit costs, leading to low incremental capital requirement for the next three years. ICRA takes comfort from BFL's demonstrated track record of raising capital in a timely manner (last capital raise of ~Rs. 9,100 crore in November 2023) to consistently maintain a prudent gearing level.

Diversified funding mix – BFL has a diverse funding base with non-convertible debentures (NCDs) and subordinated debt accounting for 38% of the overall consolidated borrowings as on June 30, 2026, followed by banks (30%), deposits (15%) and other sources (17%) like external commercial borrowings (ECBs), commercial paper (CP), collateralised borrowing and lending obligation and securitisation. The company's ability to sustain a diversified funding mix along with a competitive cost of funds while maintaining the growth momentum over the medium term remains important. In ICRA's opinion, BFL has sufficient headroom to further improve its scale over the medium-to-long term through leveraging and tapping the deposit base as an incremental source, alongside other avenues such as ECBs, pass-through certificates, direct assignment, etc.

Credit challenges

High share of relatively semi-secured/unsecured assets; asset quality remains monitorable – Unsecured consumer finance, personal loan finance and SME finance accounted for ~45% of the consolidated portfolio as on June 30, 2026. While unsecured business reported an increase in delinquencies in FY2026 and Q1 FY2027, BFL's gross non-performing assets remained comfortable at 0.96% as on June 30, 2026 (1.01% as on March 31, 2026; 0.96% as on March 31, 2025). Given the significant share of comparatively riskier (unsecured and difficult-to-repossess semi-secured) loans and the expected high growth in its scale of operations, the company's ability to maintain its asset quality indicators would be crucial. While ICRA notes the gradually increasing share of mortgage in BFL's portfolio, the asset quality remains largely untested for this business segment as a large part was disbursed in the last few years. Nevertheless, the company's use of data analytics and its continuous portfolio monitoring, based on microsegment-level system-generated early warning signals, facilitate agility in terms of the pertinent credit policy adjustments required.

Environmental and social risks

Given the service-oriented business of BFL, its direct exposure to environmental risks/material physical climate risks is not significant. Lending institutions can be exposed to environmental risks indirectly through their portfolio of assets, though such risks are not material for BFL as its lending operations encompass a well-diversified portfolio of products. Nevertheless, there is increasing interest from policymakers towards identifying the exposure of financing companies to carbon emissions through their financing activities. This process is, however, in an early stage and ICRA expects any adverse implications to manifest only over a longer time horizon, giving financing companies adequate time to adapt and minimise the credit implications. BFL has started a carbon footprint assessment process across its business operations and is committed to take necessary measures to identify and reduce its carbon footprint.

With regard to social risks, data security and customer privacy are among the key sources of vulnerability for lending institutions as material lapses could be detrimental to their reputation and invite regulatory censure.

Liquidity position: Superior

As per BFL's standalone liquidity statement as on June 30, 2026, there were no negative cumulative mismatches up to five years, factoring in unutilised funding lines. The liquidity position remained well supported by healthy on-balance sheet and off-balance sheet buffers. The liquidity coverage ratio of 231%, for the quarter ended June 30, 2026 (228% for the quarter ended March 31, 2026), was well above the regulatory requirement of 100%. The liquidity profile is supported by the diversified funding mix and the demonstrated track record of regularly raising funds from various sources at competitive rates. BFL had on-balance sheet liquidity (consolidated) of ~Rs. 17,847 crore as on June 30, 2026 (~Rs. 15,020 crore as on March 31, 2026).

Rating sensitivities

Positive factors – Not applicable

Negative factors – Pressure on the ratings could arise if the consolidated return on assets stays below 2% on a sustained basis (assuming no significant change vis-à-vis the current consolidated portfolio mix) and the consolidated gearing remains consistently above 7 times.

Analytical approach

Analytical approach	Comments
Applicable rating methodologies	Non-banking Finance Companies (NBFCs)
Parent/Group support	Not applicable
Consolidation/Standalone	Consolidated

About the company

Bajaj Finance Ltd. (BFL) is one of the largest retail asset financing non-banking financial companies (NBFCs) in India with a diversified loan portfolio and a pan-India presence. While it was originally set up to provide finance for the purchase of two-wheelers and three wheelers manufactured by Bajaj Auto Limited, it diversified into other segments over the years. At present, it operates across seven broad categories – consumer lending, commercial lending, rural lending, SME lending, deposits, payments and partnerships & services. Under partnerships & services, the company offers products like health insurance, extended warranties, comprehensive asset care, co-branded credit cards and wallets. As on June 30, 2026, it had two subsidiaries – Bajaj Housing Finance Limited (BHFL) and Bajaj Financial Securities Limited (BFSL). BHFL is registered with National Housing Bank as a housing finance company (HFC) while BFSL was incorporated to undertake the business of share broking and to function as a depository participant.

Key financial indicators (audited)

Bajaj Finance Ltd. (consolidated)	FY2025	FY2026	Q1 FY2027*
As per	Ind-AS	Ind-AS	Ind-AS
Total income	69,725	81,990	23,166
Profit after tax	16,779	19,332	6,081
Total managed assets^	4,81,924	5,81,280	NA
Return on average managed assets	3.9%	3.6%	NA
Gearing (gross; times)	3.7	3.7	NA
Gearing (managed; times)	3.8	3.8	NA
Gross stage 3 assets	1.0%	1.0%	1.0%
Capital-to-risk weighted assets ratio (CRAR)^^	21.9%	21.6%	20.9%

Source: Company, ICRA Research; All ratios as per ICRA's calculations; Amount in Rs. crore; * As per limited review financials

^Total managed assets = Total assets + Impairment allowance + Direct assignment; ^^ CRAR is on standalone basis

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Current (FY2027)			Chronology of rating history for the past 3 years								
FY2027			FY2026		FY2025		FY2024				
Instruments	Type	Amount rated (Rs. crore)	Sep 18, 2026	Date	Rating	Date	Rating	Date	Rating	Date	Rating
Subordinated debt	Long term	-	-	Apr-06-2026	[ICRA]AAA (Stable); withdrawn	Apr-08-2025	[ICRA]AAA (Stable)	May-07-2024	[ICRA]AAA (Stable)	Jun-06-2023	[ICRA]AAA (Stable)
								Oct-25-2024	[ICRA]AAA (Stable)	Oct-18-2023	[ICRA]AAA (Stable)
Commercial paper	Short term	40,000.00	[ICRA]A1+	May-12-2026	[ICRA]A1+	Apr-08-2025	[ICRA]A1+	May-07-2024	[ICRA]A1+	Jun-06-2023	[ICRA]A1+
				Apr-06-2026	[ICRA]A1+			Oct-25-2024	[ICRA]A1+	Oct-18-2023	[ICRA]A1+
				Jun-18-2026	[ICRA]A1+						
				July-01-2026	[ICRA]A1+						
NCD programme	Long term	10,000.00	[ICRA]AAA (Stable)	May-12-2026	[ICRA]AAA (Stable)	Apr-08-2025	[ICRA]AAA (Stable)	May-07-2024	[ICRA]AAA (Stable)	Jun-06-2023	[ICRA]AAA (Stable)
				Apr-06-2026	[ICRA]AAA (Stable)			Oct-25-2024	[ICRA]AAA (Stable)	Oct-18-2023	[ICRA]AAA (Stable)
				Jun-18-2026	[ICRA]AAA (Stable)						
				July-01-2026	[ICRA]AAA (Stable)						
NCD programme	Long term	-	-	Apr-06-2026	[ICRA]AAA (Stable); withdrawn	Apr-08-2025	[ICRA]AAA (Stable)	May-07-2024	[ICRA]AAA (Stable)	Jun-06-2023	[ICRA]AAA (Stable)
								Oct-25-2024	[ICRA]AAA (Stable)	Oct-18-2023	[ICRA]AAA (Stable)
NCD programme	Long term	15,000.00	[ICRA]AAA (Stable)	May-12-2026	[ICRA]AAA (Stable)	Apr-08-2025	[ICRA]AAA (Stable)	-	-	-	-
				Apr-06-2026	[ICRA]AAA (Stable)						

Current (FY2027)			Chronology of rating history for the past 3 years								
FY2027			FY2026		FY2025		FY2024				
Instruments	Type	Amount rated (Rs. crore)	Sep 18, 2026	Date	Rating	Date	Rating	Date	Rating	Date	Rating
				Jun-18-2026	[ICRA]AAA (Stable)						
				July-01-2026	[ICRA]AAA (Stable)						
NCD programme	Long term	15,000.00	[ICRA]AAA (Stable)	July-01-2026	[ICRA]AAA (Stable)	-	-	-	-	-	-
Fixed deposit	Long term	-	[ICRA]AAA (Stable)	May-12-2026	[ICRA]AAA (Stable)	Apr-08-2025	[ICRA]AAA (Stable)	May-07-2024	[ICRA]AAA (Stable)	Jun-06-2023	[ICRA]AAA (Stable)
				Apr-06-2026	[ICRA]AAA (Stable)			Oct-25-2024	[ICRA]AAA (Stable)	Oct-18-2023	[ICRA]AAA (Stable)
				Jun-18-2026	[ICRA]AAA (Stable)						
				July-01-2026	[ICRA]AAA (Stable)						
Long-term bank facilities	Long term	20,000.00	[ICRA]AAA (Stable)	Jun-18-2026	[ICRA]AAA (Stable)	-	-	-	-	-	-
				July-01-2026	[ICRA]AAA (Stable)						

Complexity level of the rated instruments

Instrument	Complexity indicator
Non-convertible debentures	Simple
Fixed deposit	Simple
Commercial paper	Simple
Bank facilities	Simple

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click here](#)

Annexure I: Instrument details

ISIN	Instrument name	Date of issuance	Coupon rate	Maturity	Amount rated (Rs. crore)	Current rating and outlook	Financial sector regulator [#]
INE296A07TH8	NCD programme	Apr-03-25	7.55%	Apr-03-35	2,990.00	[ICRA]AAA (Stable)	SEBI
INE296A07TI6	NCD programme	Apr-03-25	7.57%	Apr-03-30	3,000.00	[ICRA]AAA (Stable)	SEBI
INE296A07TH8	NCD programme	Apr-09-25	7.55%	Apr-03-35	1,250.00	[ICRA]AAA (Stable)	SEBI
INE296A07TL0	NCD programme	Apr-28-25	7.38%	Jun-28-30	500.00	[ICRA]AAA (Stable)	SEBI
INE296A07TL0	NCD programme	May-07-25	7.38%	Jun-28-30	500.00	[ICRA]AAA (Stable)	SEBI
INE296A07TL0	NCD programme	May-22-25	7.38%	Jun-28-30	3,765.00	[ICRA]AAA (Stable)	SEBI
INE296A07TQ9	NCD programme	Sep-29-25	7.37%	Sep-27-30	1,555.00	[ICRA]AAA (Stable)	SEBI
INE296A07TQ9	NCD programme	Oct-15-25	7.37%	Sep-27-30	625.00	[ICRA]AAA (Stable)	SEBI
INE296A07TR7	NCD programme	Oct-15-25	7.45%	Oct-15-35	500.00	[ICRA]AAA (Stable)	SEBI
INE296A07TQ9	NCD programme	Nov-12-25	7.37%	Sep-27-30	1,835.00	[ICRA]AAA (Stable)	SEBI
INE296A07TU1	NCD programme	Feb-20-26	7.55%	Feb-20-31	1,500.00	[ICRA]AAA (Stable)	SEBI
INE296A07TX5	NCD programme	May-12-26	8.00%	May-12-31	1,822.00	[ICRA]AAA (Stable)	SEBI
INE296A07TY3	NCD programme	May-20-26	8.08%	May-20-36	1,025.00	[ICRA]AAA (Stable)	SEBI
INE296A07TX5	NCD programme	May-12-26	8.00%	May-12-31	2,500.00	[ICRA]AAA (Stable)	SEBI
INE296A07UA1	NCD programme	Jun-24-26	7.92%	Jun-24-31	2,000.00	[ICRA]AAA (Stable)	SEBI
INE296A07UC7	NCD programme	July-06-26	7.79%	July-04-36	1,305.00	[ICRA]AAA (Stable)	SEBI
INE296A07UC7	NCD programme	Aug-18-26	7.79%	July-04-36	500.00	[ICRA]AAA (Stable)	SEBI
Not issued yet	NCD programme	NA	NA	NA	12,828.00	[ICRA]AAA (Stable)	SEBI
Yet to be issued	CP programme	NA	NA	7-365 days	40,000.00	[ICRA]A1+	RBI
NA	Fixed deposit programme	NA	NA	NA	NA	[ICRA]AAA (Stable)	RBI
NA	Long-term bank facilities	NA	NA	NA	20,000.00	[ICRA]AAA (Stable)	RBI

Source: Company, ICRA Research

[#] SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments that fall under the regulatory purview of FSRs other than SEBI

[Please click here to view details of lender-wise facilities rated by ICRA](#)

Annexure II: List of entities considered for consolidated analysis

Company name	Ownership (June 30, 2026)	Consolidation approach
Bajaj Housing Finance Limited	86.70%	Full consolidation
Bajaj Financial Securities Limited	100.00%	Full consolidation
Snapwork Technologies Private Limited	41.50%	Equity method
Pennant Technologies Private Limited	26.53%	Equity method

Source: Company, ICRA Research

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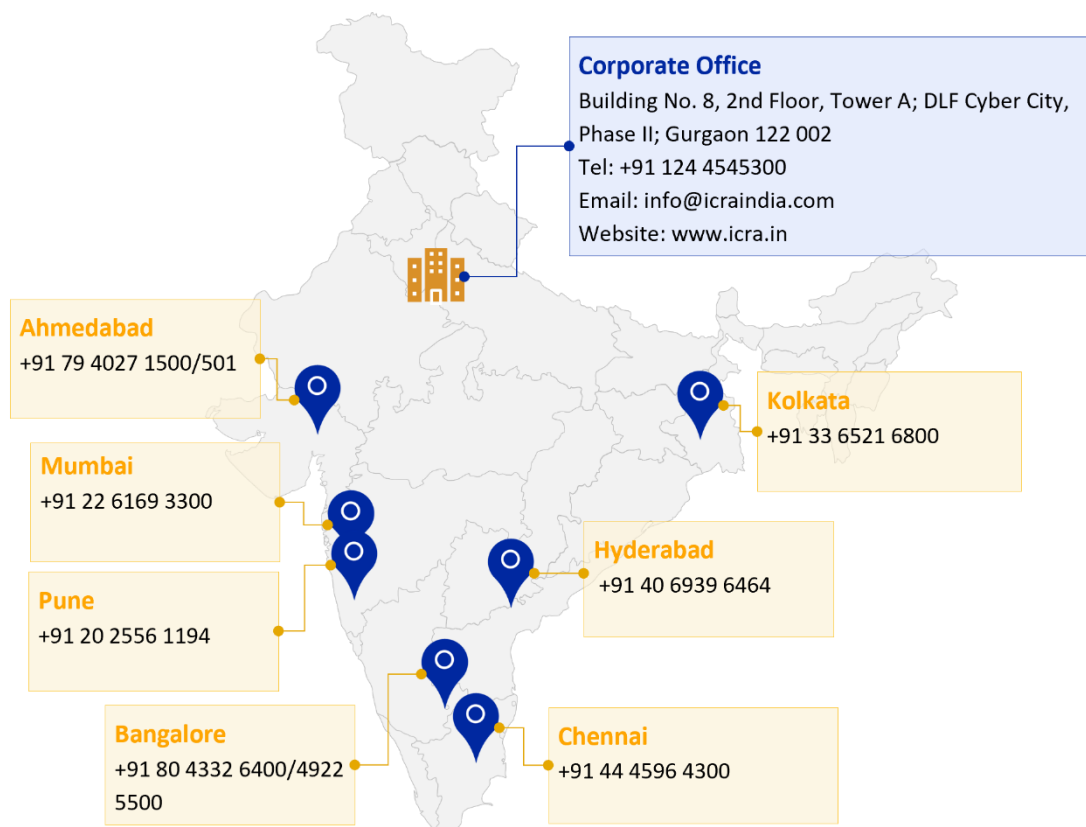


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